

SENATE BILL 2098

By Akbari

AN ACT to amend Tennessee Code Annotated, Title 39;
Title 57, Chapter 7 and Title 67, relative to the sale
of products.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 39, Chapter 17, is amended by adding
the following as a new part:

39-17-2001. Part definitions.

As used in this part, unless the context otherwise requires:

(1) "Nitrous oxide" means:

(A) N₂O, a colorless gas or liquid that is also referred to as
dinitrogen monoxide, nitrogen oxide, or laughing gas; and

(B) A substance containing nitrous oxide;

(2) "Sales at retail" means a transfer, made in the ordinary course of
trade or in the usual prosecution of a vape shop retailer's business, of nitrous
oxide to the purchaser for use or consumption and for a valuable consideration;

(3) "Vape shop" means premises dedicated to the display, sale,
distribution, delivery, offering, furnishing, or marketing of electronic smoking
devices, liquid nicotine, liquid nicotine containers, or vapor products; and

(4) "Vape shop retailer" means a person, partnership, firm, corporation,
or association engaged in the business of making sales at retail of electronic
smoking devices, liquid nicotine, liquid nicotine containers, vapor products, or
nitrous oxide within this state.

39-17-2002. Unlawful sale of nitrous oxide – Penalties.

(a) It is an offense for a vape shop retailer, or a distributor, wholesaler, or importer, who sells or offers for sale a vapor product for retail sale in this state to sell nitrous oxide.

(b)

(1) The following penalties apply to violations of this section:

(A)

(i) A vape shop retailer, or a distributor, wholesaler, or importer of vape products, who sells or offers for sale nitrous oxide for retail sale in this state is subject to a civil penalty of up to five hundred dollars (\$500) for each individual product offered for sale in violation of this section;

(ii) The civil penalty for a second violation under this subdivision (b)(1) within a twelve-month period is at least seven hundred fifty dollars (\$750) but not more than one thousand dollars (\$1,000) per product, and the suspension of the license of the vape shop retailer, or distributor, wholesaler, or importer of vape products for thirty (30) calendar days; and

(iii) The civil penalty for a third violation under this subdivision (b)(1) within a twelve-month period is at least one thousand dollars (\$1,000) but not more than one thousand five hundred dollars (\$1,500) per product, and the revocation of the license of the vape shop retailer, or distributor, wholesaler, or importer of vape products; and

(B) A manufacturer who knowingly causes nitrous oxide to be sold for retail sale in this state, whether directly or through a vape shop

retailer, or a distributor, wholesaler, or importer of vape products, or similar intermediary or intermediaries, is subject to a civil penalty of ten thousand dollars (\$10,000) for each individual nitrous oxide product offered for sale in violation of this section.

(2) In an action to enforce this section, the state is entitled to recover costs, including the costs of investigation, expert witness fees, and reasonable attorney fees.

(3) Notwithstanding this section to the contrary, a repeated violation of this section constitutes a deceptive trade practice under § 47-18-104.

SECTION 2. The headings in this act are for reference purposes only and do not constitute a part of the law enacted by this act. However, the Tennessee Code Commission is requested to include the headings in any compilation or publication containing this act.

SECTION 3. This act takes effect July 1, 2026, the public welfare requiring it.